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Japan Rates Weekly

Fewer hikes + fiscal expansion = steepening



CITI'S TAKE

With the yen continues to weaken short-term expectations for rate hikes are rapidly fading. If rate hikes come later than we anticipate, concerns about the BoJ being behind-the-curve could intensify. Bridging JGB issuance is also a negative for the market and is likely to weigh on the 10y sector.

Lifer earnings — Unrealized losses on government bonds are expanding, but this is not likely to be a major issue as stock prices are rising. Interest rate risk looks somewhat excessive, and duration demand is likely to remain sluggish this year as well.

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Figure 1. Summary of views

	View	Strategy
Duration	Neutral.	Considering receiving 2y2y outright.
Curve	Steeper into the long-end supply.	Considering JGB 20y/30y flattener from around 35bp.
ASW	Bearish.	Considering shorting 5y-10y.
Volatility	Slightly lower with realized vols falling.	No trade.

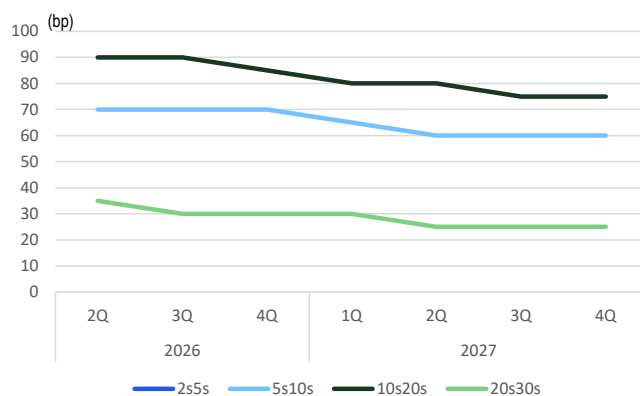
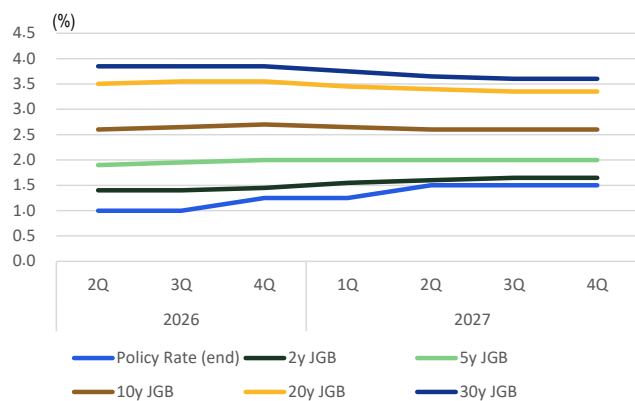
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Note: Futures trading involves substantial risk of loss. Strategies we are considering in the above table are not trade ideas we are currently recommending.

Source: Citi Research.

Figure 2. Yen rates outlook (quarterly average, %)

	2Q 26	3Q 26	4Q 26	1Q 27	2Q 27	3Q 27	4Q 27	1Q 28
Policy Rate (end)	1.00	1.00	1.25	1.25	1.50	1.50	1.50	1.50
2y JGB	1.40	1.40	1.45	1.55	1.60	1.65	1.65	1.65
5y JGB	1.90	1.95	2.00	2.00	2.00	2.00	2.00	2.00
10y JGB	2.60	2.65	2.70	2.65	2.60	2.60	2.60	2.60
20y JGB	3.50	3.55	3.55	3.45	3.40	3.35	3.35	3.35
30y JGB	3.85	3.85	3.85	3.75	3.65	3.60	3.60	3.60
2y OIS ASW (bp)	1.0	2.5	2.5	5.0	5.0	5.0	5.0	5.0
10y OIS ASW (bp)	20.0	22.5	22.5	25.0	25.0	25.0	25.0	25.0
10y BEI (bp)	200	210	210	205	200	200	200	200



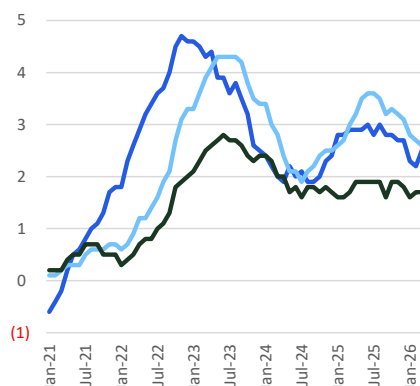
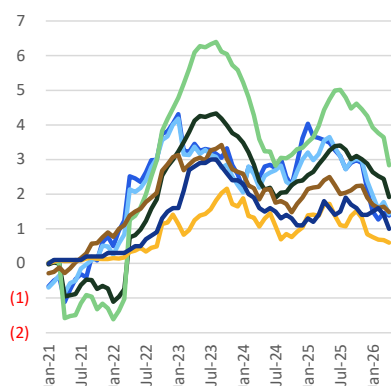
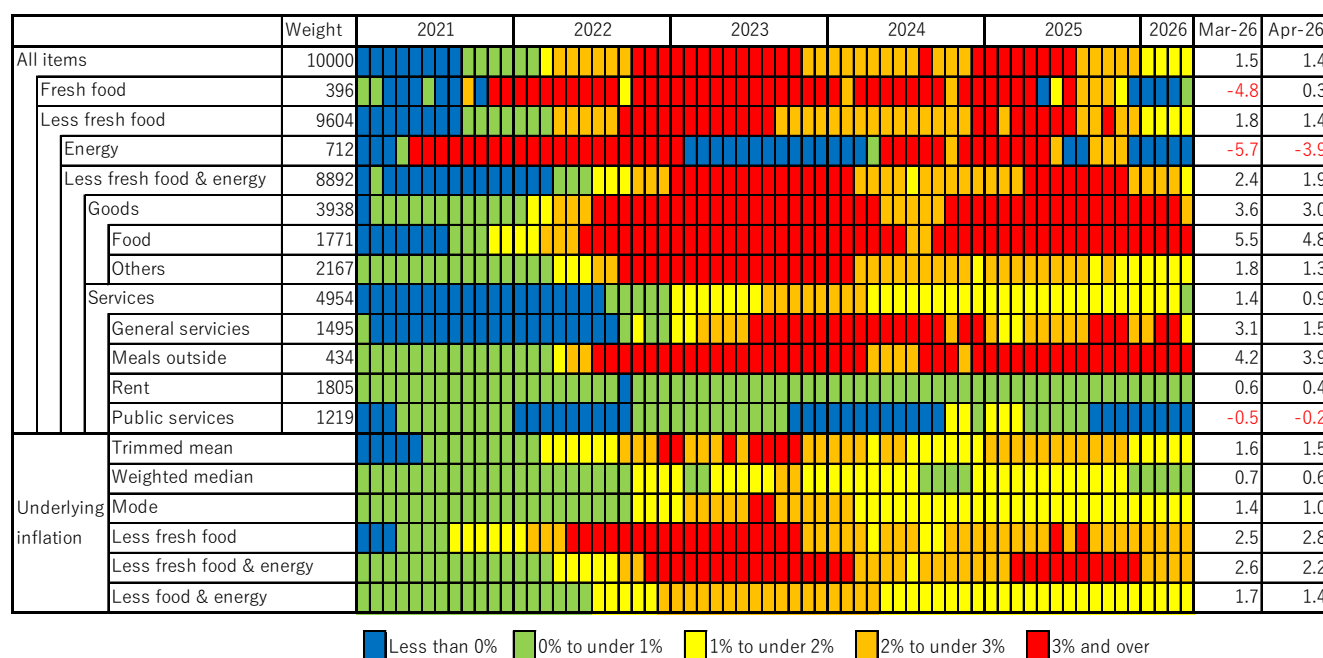
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Source: Citi Research.

Rate hike expectations not strengthening

While the Middle Eastern situation has stabilized somewhat, market expectations for a rate hike are not strengthening. Around 80% is understood as the peak for pricing of a rate hike at the June meeting, and some believe this is because of pressure from the government. At the previous April meeting the BoJ's outlook for prices was bullish, but the Bank was concerned about downside for the economy. A range of government subsidies now means the latter risk has diminished. However, inflation is also slowing somewhat, with government subsidies also a factor. Thus there are not necessarily strong grounds for the logic that broadly-based inflation pressure warrants a rate hike.

Figure 3. Inflation rate by item (YoY % change)



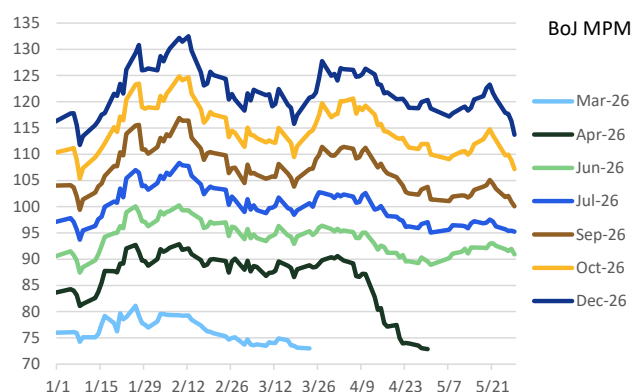
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Source: MoF, BoJ, Citi Research.

If the BoJ cannot hike now the real policy rate will be stuck in negative territory, so concern about the BoJ falling behind the curve will intensify. It has been accepted for some time that the interest rate spread does not fully explain forex rates, but this year the USDJPY has moved largely in line with the spread between US and

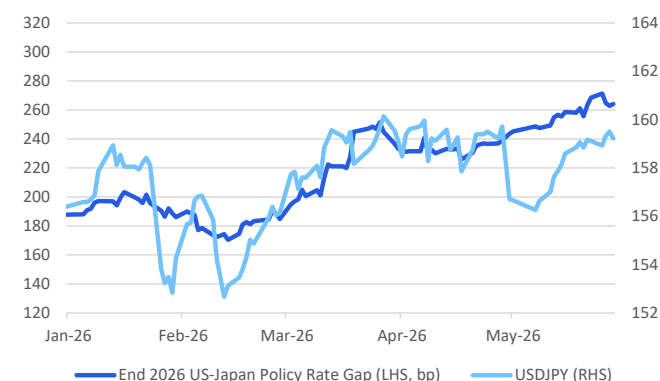
Japanese policy rates. This tendency has been particularly evident since March, indicating a change in theme as the Middle Eastern conflict ignited. Forex intervention has prevented further yen depreciation, but based on this relationship a rate above ¥160/\$ looks more natural. The reasons are based mainly on the outlook for the US policy rate. If employment is weak over the summer, pricing of a US rate hike is likely to decrease. For significant upward pressure on the yen to build would require a recovery in the outlook for a Fed rate cut. At that point, a rate hike in line with market pricing would be the action available to the BoJ, and the effectiveness would be limited to the prevention of further yen depreciation. Even if the BoJ does hike in June, there is the risk it could be seen as dovish.

Figure 4. OIS market pricings (bp)



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Source: Citi Research.

Figure 5. Implied Japan-US rate gap at end-2026 and ¥/\$ rate



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Source: Citi Research.

In this situation, we think the 10y sector will continue to tend to price in a risk premium. The 40y auction this week was easily digested despite the preceding rally. Supply/demand is improving overall, and maturities of 5y and shorter will likely be supported by the outlook for the terminal rate. The positioning of the 10y, which is sandwiched between these two, is more difficult to define. The 5y5y is higher than the EUR rate, while the spread between the 10y JGB yield and the 10y Bund continues to narrow. The risk premium is excessive when valued against the yen interest rate curve, but there is a lack of catalysts to drive a decline in yields, so if the downtrend in eurozone interest rates continues the spread is likely to narrow further.

Concern about the supplementary budget has been allayed, but the Nikkei reported on May 28 that the government is considering the issuance of bridging JGBs. The government will apparently look to manage this debt separately from normal JGBs under a framework for growth investments that stretches over several years. It would be even more desirable from the government's perspective if this avoids deterioration in some ratios that the government calculates, as when issuing FILP or GX bonds. The problem is ultimately how to fund the redemption of the bonds. In the past bridging bonds have been used to buy time for a consumption tax hike, and in the case of GX bonds to provide funding until revenue from an emissions trading scheme becomes available. It is unclear how large growth investment will be, but if it is in units of at least ¥10trn there will need to be a comparable new funding source. Growth in tax revenue due to future inflation would not qualify as such a funding source.

If the scale of growth investment balloons, consideration of future tax hikes will be unavoidable, but the government likely wants to avoid this. In this case, the focus would be on the use of existing assets, such as the Foreign Exchange Fund Special Account and equities held by the government. However, there would be no clear growth in government revenue compared to a case in which bridging JGBs are not issued. Part of the reserves of the Foreign Exchange Fund Special Account are currently transferred into the General Account. If the US-Japan interest rate spread contracts and the yen strengthens, then yen-denominated returns will decline. It would be more important to stop a buildup in excess fund reserves. The problem with relying on the proceeds from the sale of asset holdings is whether or not such sales can go ahead, and that if bridging JGBs were not issued, the assets could be used for another purpose.

For example, they could be used to generate stable revenue of ¥1trn annually. If the average borrowing cost at yen interest rates were 3%, this would fund interest charges on around ¥33trn of outstanding JGBs. However, this would not apply to bridging JGBs, which are based on the assumption they will eventually be redeemed. If the scheme were to redeem them over 20y, in the same way as for GX bonds, then at an average yen interest rate cost of 3%, the additional capacity to borrow would be ¥15trn. We continue to focus on the defense budget. A target of 3% of GDP would mean a permanent increase in expenditure of ¥10trn annually. This makes reform of the expenditure side important.

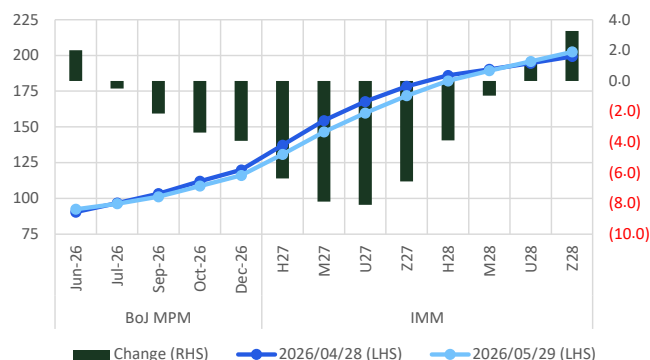
An increase in JGB issuance is likely to be considered in the issuance plan for next fiscal year. It is natural to expect that the relevant maturities will be 10y and shorter. [JGBs for retail investors](#) should help constrain JGB issuance on a calendar basis, but the investment capacity of institutional investors will be reduced. We expect concern over fiscal policy to continue through year-end.

Next week there will be a reopening auction for the JB382 on June 2. We think there will have been a buildup of shorts during the decline in the market after Japan's Golden Week holiday. However, the yield has already fallen to 2.6%–2.7%, so we do not expect aggressive short covering yet. With a speech by BoJ Governor Kazuo Ueda scheduled for June 3, we think investors are likely to wait to gauge the probability of a rate hike at the June meeting. We continue to expect a rate hike in June, but some market participants are still demanding that a hike be delayed despite current yen weakness. The risk-reward balance of the BoJ June/September flattener is deteriorating, so we take 6bp profit at the 8.5bp close on May 29.

Pricing of the year-end OIS is also declining sharply. If there is movement here there will be steepening pressure on the curve, and this could drive a further rise in the already high 5y5y. Cross-market transactions in the EUR have appeal, but near-term trading has been unfavorable. The 2y forward has not moved much, and given also our outlook for the terminal rate receiving is attractive. However, the volatility remains high and we would like to wait for around 2.2% level.

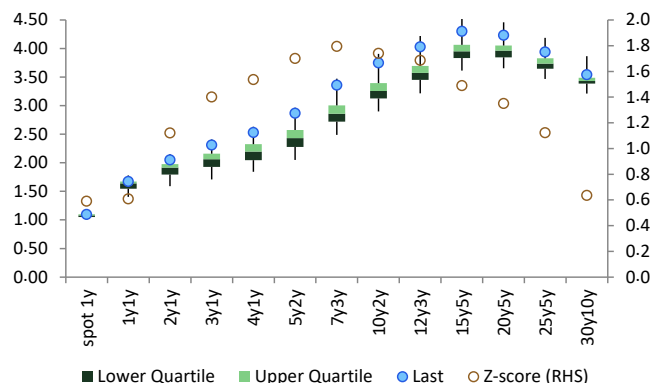
We expect a renewed tendency toward a correction in the super-long sector ahead of the liquidity supply auction on June 4 and the 30y bond auction on June 10. Once the index extension and demand resulting from rebalancing due to gains by equities have ended we would expect few investors to make additional purchases. In terms of relative value, the sector has outperformed the curve and the ASW has richened. If we assume a BoJ rate hike, then carry will deteriorate for overseas investors who have hedged purchases. Regardless of the success of the auction, factors driving steepening are likely to dominate beforehand. Even so, we do not expect the level of interest rates to exceed the May peak.

Figure 6. OIS market pricings (bp)



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Source: Citi Research.

Figure 7. OIS rate range since March 1 (%)



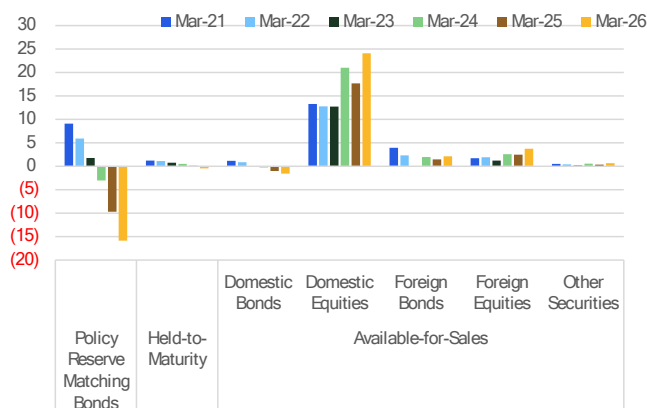
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Source: Citi Research.

Life insurers

Results were strong across the board in FY3/26. The rise in interest rates drove growth in core profits, while on the sales side lump-sum whole-life policies apparently performed strongly. However, this did not lead to duration demand, and policy reserves declined on a book value basis reflecting the use of reinsurance. At the same time, there was an expansion in unrealized losses on bond holdings. For the nine major private traditional Japanese life insurers combined unrealized losses on bond holdings against policy reserves are around ¥16trn. However, unrealized gains on Japanese equities will easily cover these, so there is no major problem. Even if write-downs are not a problem, life insurers will likely continue to replace existing holdings with current bonds at a steady pace in order to improve book value yields.

There has been no major change in EV or ESRs relative to FY3/25 at the life insurers that disclose this data. Some life insurers are over-hedged for interest rate risk, when in fact it is advantageous to be slightly under hedged in terms of compliance with regulations. Many insurers need to control market risk more for equities, real estate and forex. Profits should be booked as exposure to these is reduced, providing an incentive for the above noted reshuffling of bond portfolios. We expect the headwind for off-the-run issues to continue, although not as strongly as last year.

Figure 8. Unrealized gains and losses (¥trn)

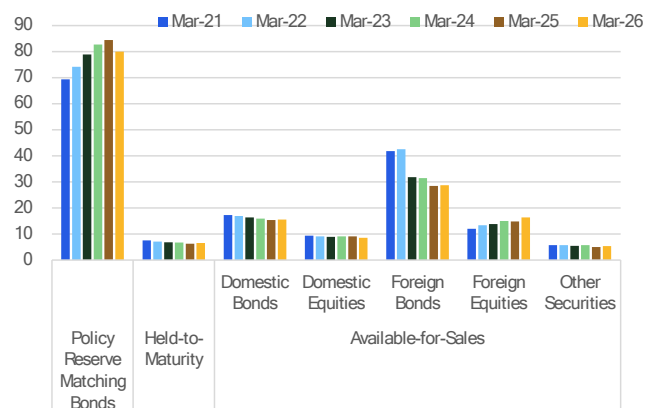


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Note: Total for nine major private traditional Japanese life insurers.

Source: Company data, Citi Research.

Figure 9. Outstanding book value (¥trn)

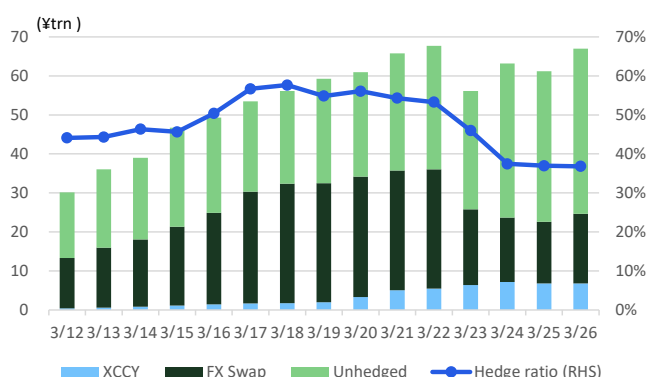


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Source: Company data, Citi Research.

There has been little change also in foreign currency assets. Holdings have grown due to the rise in market values, including that due to yen depreciation, but there has been no acceleration in repatriation. Hedging ratios have been roughly flat, indicating that investors are either benefiting from the yen's weakness with open investments or continuing to invest in spread products. Yields are attractive for investment in yen bonds, particularly super-long investment. However, if there is no growth in liabilities, investment in the shortest maturities is best compared to guaranteed policy returns. Even a 10y bond will yield more than 2.5%, so in the near term returns will be attractive relative to spread securities as well.

Figure 10. Overseas security hedging ratio

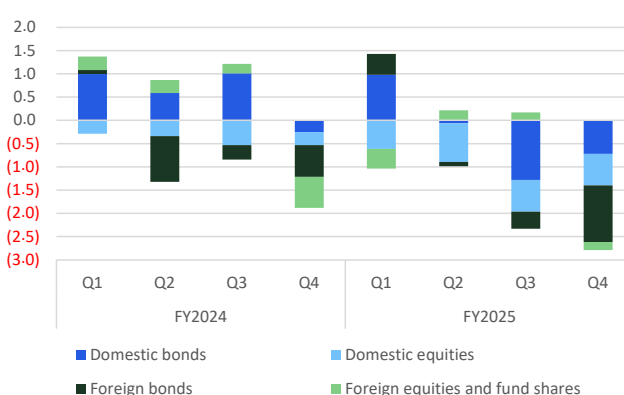


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Note: Total for nine major private traditional Japanese life insurers.

Source: Company data, Citi Research.

Figure 11. Net purchasing by insurers (¥trn)



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Source: MoF, JSDA, Japan Exchange Group, Bloomberg, Citi Research.

Figure 12. 12-month trade recommendation history

Trade	Publication Link	Direction	Entered	Closed	Status
OIS 5s15s flattener.	Japan Rates Weekly (06/27/2025)	Relative value trade	27-Jun-25	4-Sep-25	Closed
BoJ MPM Jun/Sep flattener.	Japan Rates Weekly (04/17/2026)	Relative value trade	17-Apr-26	29-May-26	Closed

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Note: Futures trading involves substantial risk of loss. This table does not include trade ideas subject to a restriction. Past results are not necessarily indicative of future results.

Source: Citi Research.

Figure 13. Monthly supply/demand outlook (¥bn)

	Issuance											Rinban								Not Settled or Reduced (C)	Market Redemption (D)*	Net Supply (A-B+C-D)
	2y	5y	10y	20y	30y	40y	Liquidity Tap Auctions			GX	Total (A)	-1y	1y-3y	3y-5y	5y-10y	10y-25y	25y+	Total (B)				
							Short	Medium	Long													
CY2020	32,265	27,749	30,197	13,324	9,902	2,909	2,394	6,279	2,993	0	128,011	2,827	26,366	22,782	23,960	3,061	758	79,753	0	42,247	6,011	
CY2021	36,954	30,733	32,858	15,053	11,447	3,676	2,393	5,973	2,992	0	142,079	2,003	22,776	22,027	21,940	2,233	635	71,614	0	38,604	31,861	
CY2022	36,001	31,156	33,227	14,971	11,438	4,240	2,794	5,986	2,997	0	142,809	1,802	23,380	25,420	52,381	5,519	2,109	110,611	220	42,626	-10,208	
CY2023	35,304	32,475	33,892	14,989	11,302	4,383	2,993	5,988	2,992	0	144,318	1,802	20,917	24,246	48,821	12,075	4,063	111,924	4,176	35,268	1,303	
CY2024	33,637	29,632	33,131	12,708	11,409	4,521	2,993	7,139	2,694	2,649	140,511	1,801	17,200	18,823	20,429	5,414	1,807	65,474	454	36,477	39,014	
CY2025	33,160	29,242	32,110	11,450	9,844	3,264	3,295	7,791	2,146	949	133,250	1,351	12,537	12,361	13,410	4,825	1,804	46,288	2,251	35,410	53,804	
Jan-26	3,068	2,581	2,600	800	714	438	698	649	0	300	11,848	100	811	736	782	286	150	2,865	200	1,561	7,623	
Feb-26	2,874	2,698	2,600	866	757	0	0	650	249	0	10,694	100	811	736	781	286	150	2,864	58	1,570	6,318	
Mar-26	3,078	2,744	2,678	878	758	430	697	650	0	300	12,213	100	810	736	781	286	151	2,864	0	6,309	3,040	
Apr-26	2,907	2,543	2,600	767	655	0	0	649	250	0	10,372	100	766	691	721	241	150	2,669	0	1,195	6,508	
May-26	2,926	2,657	2,623	715	599	320	699	649	0	250	11,438	100	766	691	721	240	150	2,668	0	1,499	7,271	
Jun-26	2,926	2,613	2,717	732	627	0	0	650	250	0	10,514	100	765	690	720	240	150	2,665	0	4,762	3,087	
Jul-26	2,926	2,613	2,717	732	627	314	700	650	0	0	11,278	100	700	640	660	210	150	2,460	0	1,540	7,278	
Aug-26	2,926	2,613	2,717	732	627	0	0	650	250	250	10,764	100	700	640	660	210	150	2,460	0	1,129	7,175	
Sep-26	2,926	2,613	2,717	732	627	314	700	650	0	0	11,278	100	700	640	660	210	150	2,460	0	5,425	3,393	
Oct-26	2,926	2,613	2,717	732	627	0	0	650	250	0	10,514	100	650	580	600	180	150	2,260	0	1,557	6,697	
Nov-26	2,926	2,613	2,717	732	627	314	700	650	0	250	11,528	100	650	580	600	180	150	2,260	0	1,988	7,280	
Dec-26	2,926	2,613	2,717	732	627	0	0	650	250	0	10,514	100	650	580	600	180	150	2,260	0	6,283	1,971	
CY2026	35,336	31,512	32,119	9,146	7,872	2,128	4,195	7,796	1,499	1,350	132,953	1,201	8,779	7,940	8,285	2,749	1,801	30,755	258	34,817	67,639	

	Floaters		Market Redemption	Net Supply	Linkers					
	Rinban				Issuance	Rinban	Buyback	Market Redemption*	Net Supply*	
CY2020	502	4,821	-5,323	1,015	743	811	0	-540		
CY2021	140	4,357	-4,497	799	722	601	0	-524		
CY2022	120	1,999	-2,119	900	721	240	0	-62		
CY2023	60	174	-234	1,000	721	241	173	-135		
CY2024	0	0	0	1,000	720	240	1,010	-971		
CY2025	0	0	0	999	600	241	1,241	-1,082		
Jan-26	0	0	0	0	40	20	0	-60		
Feb-26	0	0	0	250	40	20	0	190		
Mar-26	0	0	0	0	40	20	794	-854		
Apr-26	0	0	0	0	40	15	0	-55		
May-26	0	0	0	250	40	0	0	210		
Jun-26	0	0	0	0	40	15	0	-55		
Jul-26	0	0	0	0	40	0	0	-40		
Aug-26	0	0	0	250	40	15	0	195		
Sep-26	0	0	0	0	40	0	0	-40		
Oct-26	0	0	0	0	40	15	0	-55		
Nov-26	0	0	0	250	40	0	0	210		
Dec-26	0	0	0	0	40	15	0	-55		
CY2026	0	0	0	1,000	480	135	794	-410		

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Note: We assume no redemption of bonds purchased in future *rinban* operations.

Source: MoF, BoJ, Citi Research.

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